



Finance Case Research Club  
Team Condor



# **IPO Analysis: Case Study of Hyundai Marine Solution**

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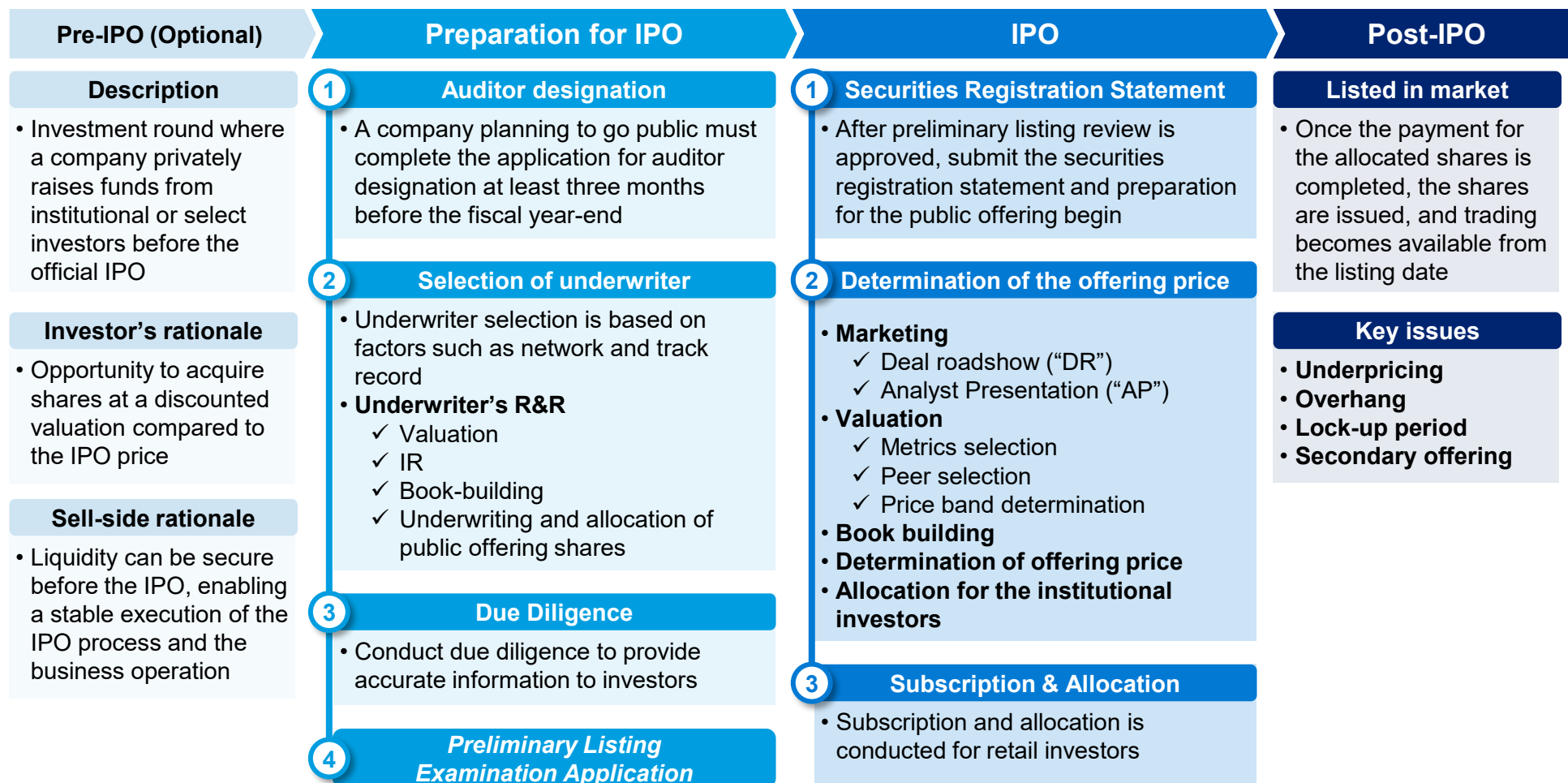
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# **I. Introduction to IPO**

1. Detailed IPO Process
2. Detailed IPO Process: Valuation
3. Key Concept of IPO: Lock-up Period
4. Key Concept of IPO
5. Recent IPO Trend

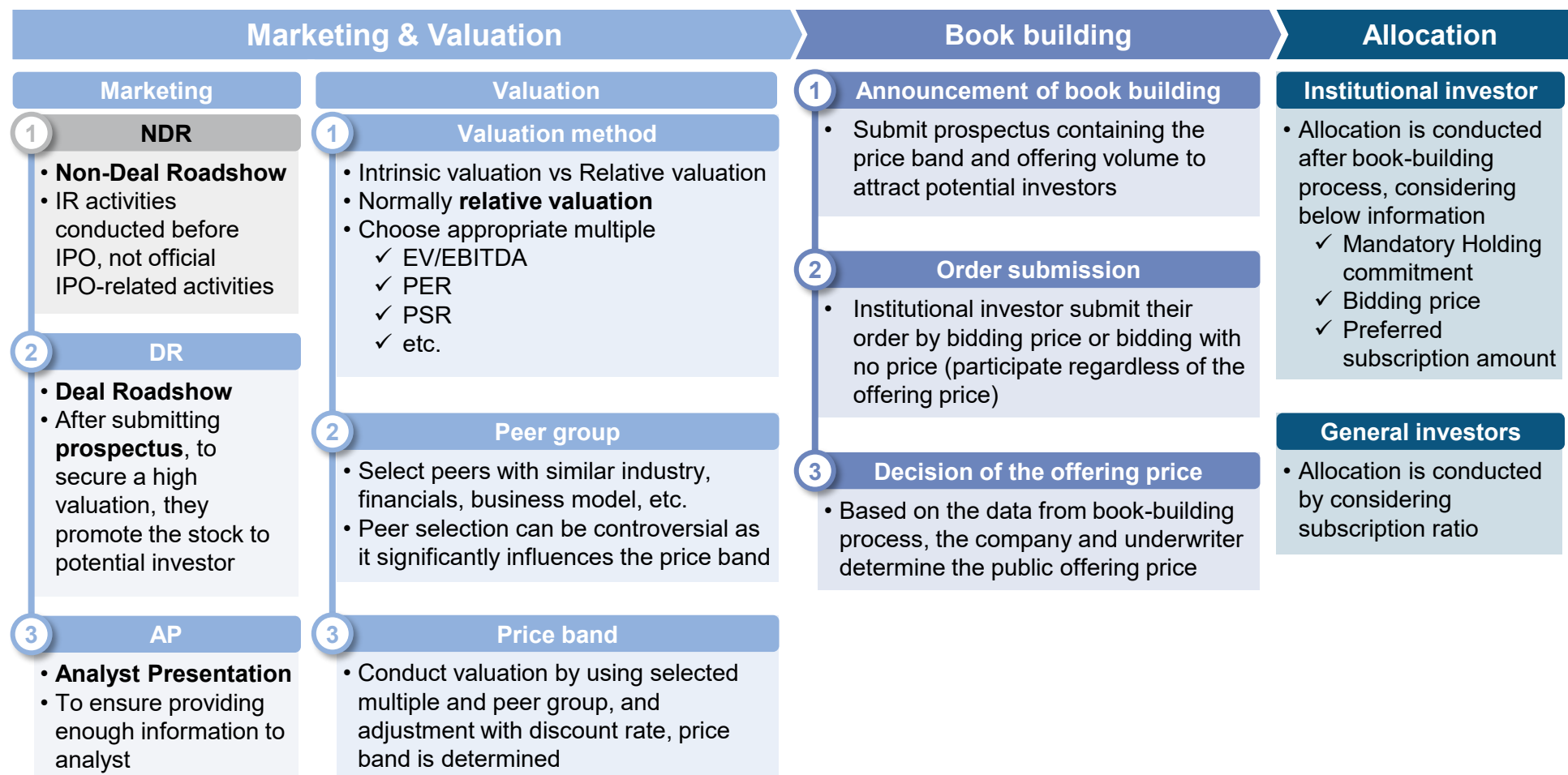
# Detailed IPO Process

*IPO consists of multiple processes, internally prepare to meet listing requirements, while externally, engage with investors to achieve an appropriate offering price*



# Detailed IPO Process: Valuation

*Detailed valuation process is consist of marketing , valuation, and book building, commonly using relative valuation by using listed similar companies as peer group*



# Key Concept of IPO: Lock-up Period

*After the IPO, to protect new shareholders from stock price volatility, lock-up participants are restricted from selling their shares in the public market, with the duration and terms varying based on their status*

## Types of lock-up in the IPO context

| Lock-up      | Mandatory Holding Registration                                                                                                                            | Voluntary Holding Commitment                                                                                                                                                      | Mandatory Holding Commitment                                                                                                                                                                         |
|--------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Participants | Largest shareholder, etc.                                                                                                                                 | Largest shareholder, volunteers                                                                                                                                                   | Institutional investors allocated IPO shares                                                                                                                                                         |
| Period       | KOSPI: 6 months<br>KOSDAQ: 1 year                                                                                                                         | N/A                                                                                                                                                                               | 6 months / 3 months<br>1 month / 15 days                                                                                                                                                             |
| Rationale    | <ul style="list-style-type: none"> <li>Preventing IPO investors from incurring losses due to the exit of the largest shareholder after the IPO</li> </ul> | <ul style="list-style-type: none"> <li>Contributes to post-IPO stock price stability</li> <li>Additional lock-up arrangements are favorable for listing review process</li> </ul> | <ul style="list-style-type: none"> <li>Contributes to post-IPO stock price stability</li> <li>Preferential stock allocation for institutional investors who commit to a mandatory lock-up</li> </ul> |

## Key details of lock-up

|                                      |                                                                                                                                                                                                                                                                                                                 |
|--------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Impact on stock price                | <ul style="list-style-type: none"> <li>Negative cumulative return between 28 to 10 days before the lock-up period expiration, since the expiration date is publicly disclosed</li> <li>Generally, no significant impact right after the lock-up period expiration</li> </ul>                                    |
| Domestic vs Foreign                  | <ul style="list-style-type: none"> <li>Domestic institutional investors have a high commitment to mandatory holding agreements to secure IPO allocations</li> <li>Foreign institutional investors face lower competition, resulting in less mandatory holding and short-term profit-taking after IPO</li> </ul> |
| Advantage in stock allocation of IPO | <ul style="list-style-type: none"> <li>The voluntary lock-up commitments by major shareholders are favorable for listing review process</li> <li>As a result, many feel pressured regarding their exit strategy</li> </ul>                                                                                      |

## Lock-up case: Kakao bank

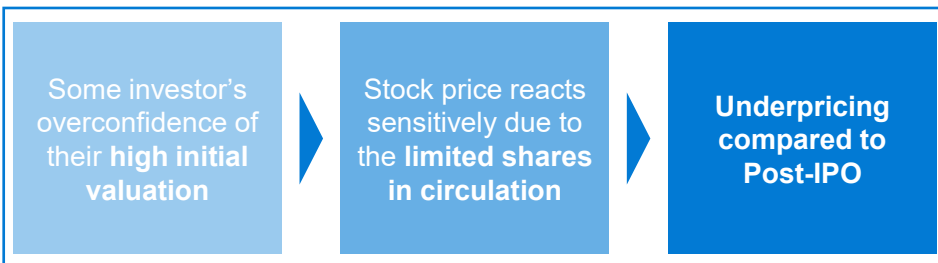
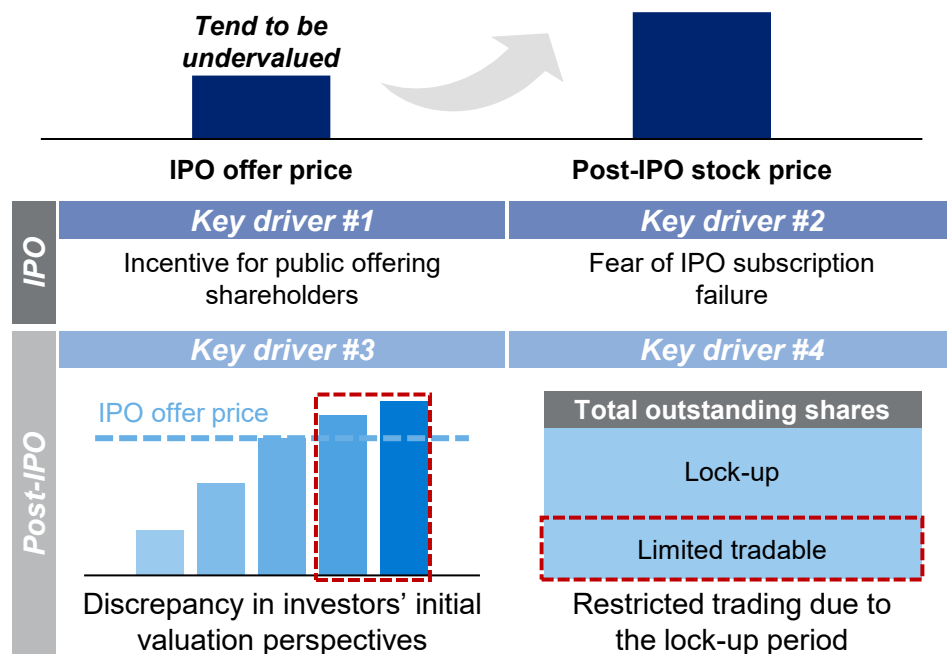
| Mandatory         | Shareholder                             | # of Shares | %          | Lock-up period                   |
|-------------------|-----------------------------------------|-------------|------------|----------------------------------|
| Lock-up           | Kakao Corp.                             | 130         | 27.26      | 6 months (1)                     |
| Lock-up           | IPB Ltd                                 | 11          | 2.24       | 6 months (2)                     |
| Lock-up           | Keto Holdings, L.P.                     | 11          | 2.24       | 6 months (2)                     |
| Lock-up           | Korea Investment Value Asset Management | 110         | 23.25      | 6 months (3)                     |
| Lock-up           | Korea Investment Holdings               | 19          | 4.01       | 6 months (3)                     |
| Lock-up           | KB                                      | 38          | 8.02       | 6 months (4)                     |
| Lock-up           | Netmarble Corp.                         | 8           | 1.60       | 3 months (4)                     |
| Lock-up           | Skyblue Luxury Investment               | 8           | 1.60       | 3 months (4)                     |
| Lock-up           | Employee Stock Ownership Association    | 13          | 2.76       | 1 year (5)                       |
| Tradable          | Other existing shareholders             | 76          | 15.99      | -                                |
| Tradable/ Lock-up | Public offering Shareholders            | 52          | 11.02      | Mandatory Holding Commitment (6) |
| -                 | <b>Total</b>                            | <b>475</b>  | <b>100</b> | -                                |

- (1) **Mandatory Holding Registration** for the largest shareholder
- (2) **Mandatory Holding Registration** for major shareholders who acquired shares via third-party allocation within one year before the preliminary listing Examination application
- (3) **Voluntary 6-month Holding Commitment** for market stabilization in the early trading period
- (4) **Voluntary 3-month Holding Commitment** for market stabilization in the early trading period
- (5) Mandatory custody of Employee Stock Ownership Association shares for one year after listing
- (6) **Mandatory 15–6 months Holding Commitment** for a portion of institutional investors' allocated IPO shares

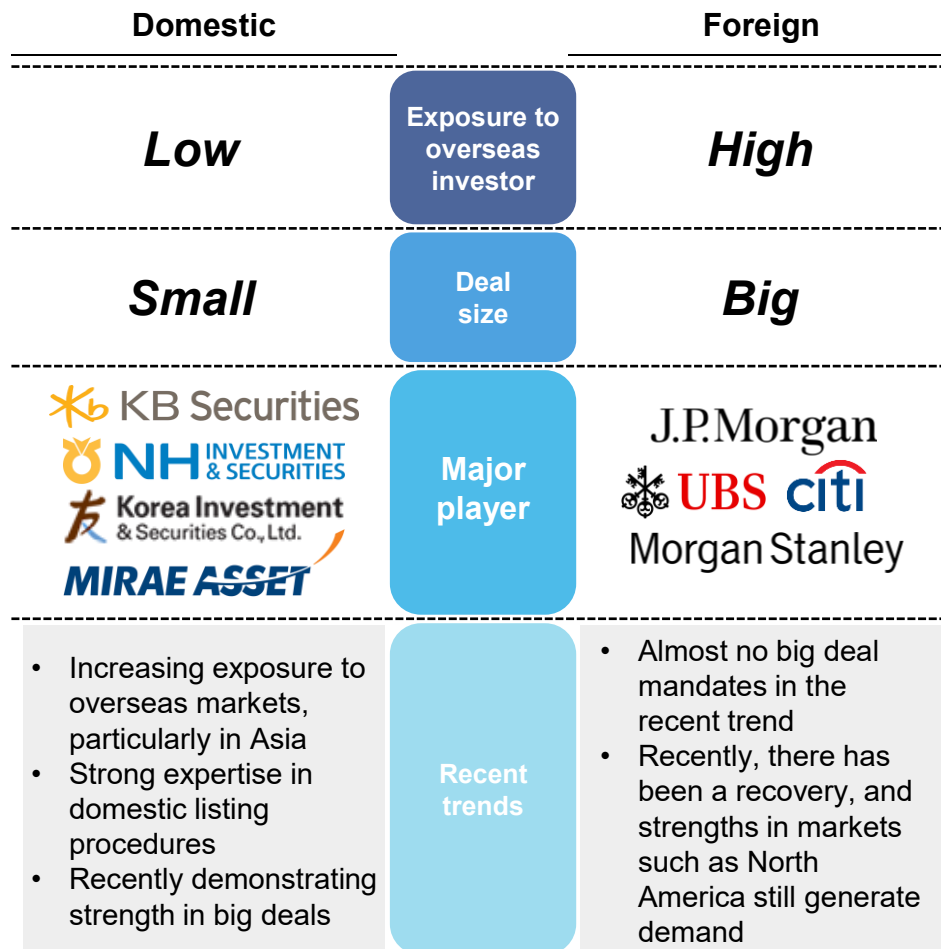
# Key Concept of IPO

*In the IPO market, underpricing frequently occurs due to both interest-driven and structural factors. Recently, the roles and responsibilities of domestic and foreign securities firms have been shifting*

## IPO underpricing



## Different R&R of domestic and foreign bank



# Recent IPO Trend

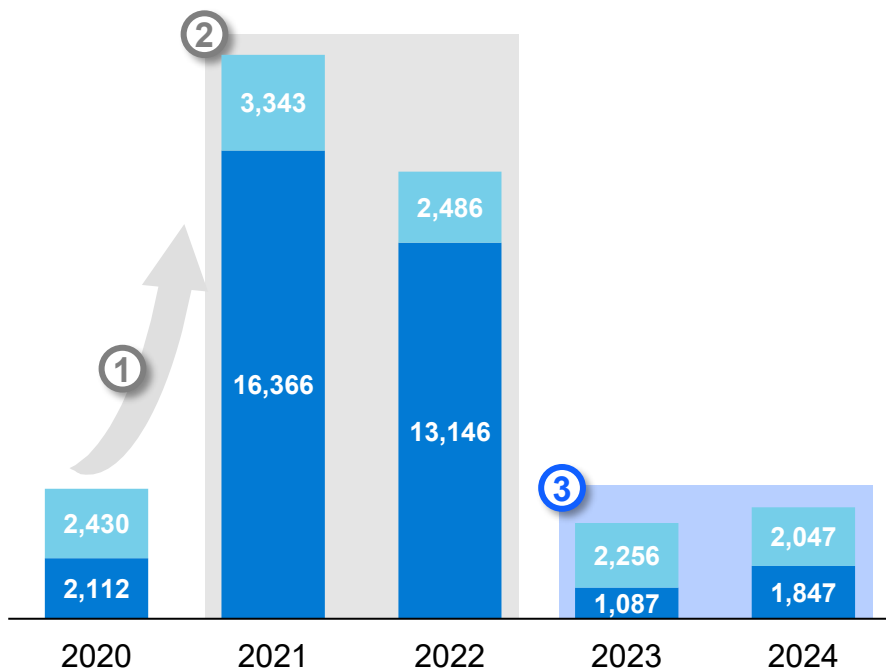
The IPO market has weakened compared to 2021–2022, but special-case IPOs have risen, and large IPOs like HD Hyundai Marine Solution encourage active participation in the offering, backed by lock-up investors

## 5-years historical total offering amount in domestic market

(KRWbn)

■ KOSPI ■ KOSDAQ

- ① Increase in market liquidity has led to frequent excess returns after listing.
- ② As IPOs continue to perform well, a large number of IPO offerings are entering the market
- ③ Market liquidity declined, leading to a slowdown in IPO activity.



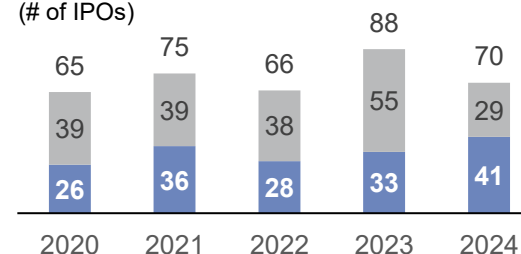
## Notable trend

### 1 Increase in KOSDAQ special case IPOs

Policy that allows companies to IPO even if they do not meet the general financial requirements, as long as satisfying criteria proving growth potential

■ Special case ■ Other KOSDAQ

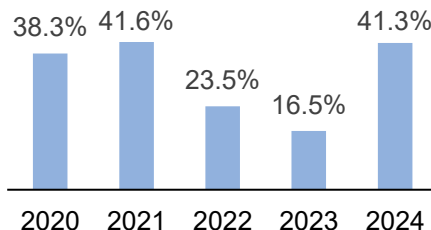
(# of IPOs)



- Technology-based special case account for the majority
- Industries have diversified from a biotech-dominated trend ('20: 68.0% → '24: 25.0%)

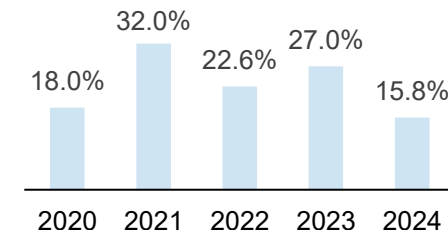
### 2 Trend in Mandatory Holding Commitment of lock-up

(%)



The ratio for KOSPI has recovered to 2021 levels, supported by attractive IPO opportunities

(%)



The ratio for KOSDAQ remains on a downward trend, driven by investor concerns over its inherent volatility

## **II. Case Study: Hyundai Marine Solution**

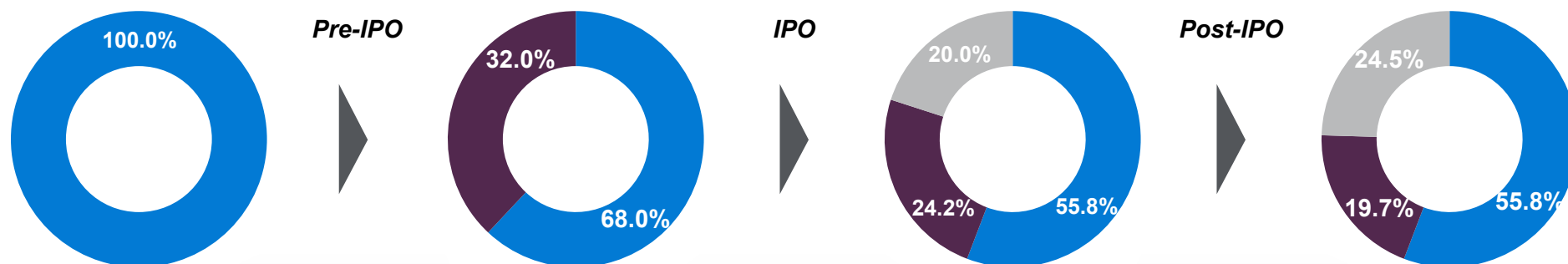
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# Evolution of HD Hyundai Marine Solution's Ownership

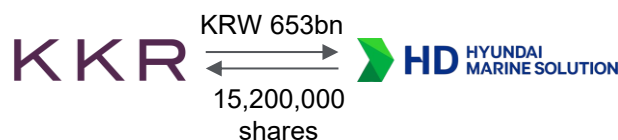
KKR made their first investment of KRW 653bn in HD Hyundai Marine Solution in 2016, and has been realizing investment returns through various exit strategies, including IPO and block deal

## KKR's investment on HD Hyundai Marine Solution

■ HD ■ KKR ■ Other shareholders



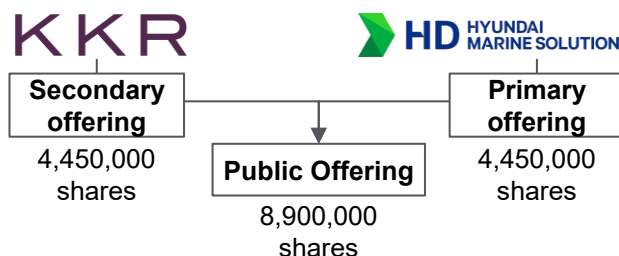
### KKR's pre-IPO investment



Implied EQV KRW 1,719bn

**Key terms** Term ensuring the principal guarantee in the case of lower offering price

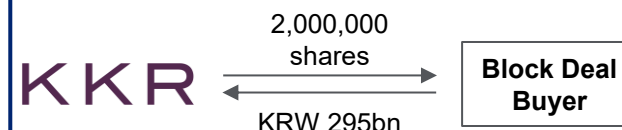
### HD Hyundai Marine Solution IPO



Offer size KRW 742bn

Implied EQV KRW 3,707bn

### KKR's partial exit by Block Deal



Selling price KRW 147,500 / share

Implied EQV KRW 6,556bn

# IPO Case Study

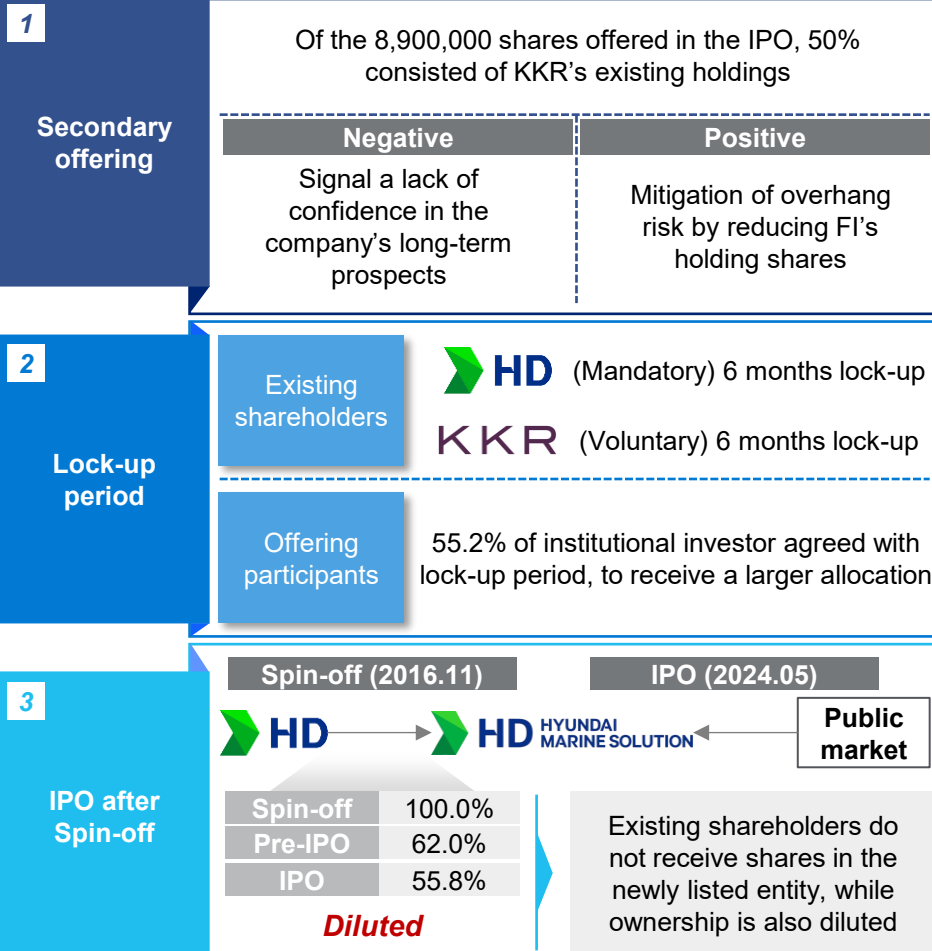
During the IPO, the offering price was set at the upper end of the price band at KRW 83,400, marking a successful debut, while it faced criticism for undermining investor interests as it was a post-spin-off listing

## IPO overview

|                   |                                                                                                                                                                                                                                                                                    |                     |
|-------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|
| Lead underwriters |  KB Securities  J.P.Morgan  UBS |                     |
| Price band        | KRW 73,300 ~ KRW 83,400                                                                                                                                                                                                                                                            |                     |
| Offering mix      | Employee Stock Ownership Association                                                                                                                                                                                                                                               | 18.56% <sup>1</sup> |
|                   | Institutional investors                                                                                                                                                                                                                                                            | 55.00%              |
|                   | General investors                                                                                                                                                                                                                                                                  | 26.44% <sup>2</sup> |
| Offering shares   | 8,900,000 <sup>3</sup>                                                                                                                                                                                                                                                             |                     |
| Offering price    | KRW 83,400                                                                                                                                                                                                                                                                         |                     |
| Offer size        | KRW 742bn                                                                                                                                                                                                                                                                          |                     |
| Subscription rate | 100.0%                                                                                                                                                                                                                                                                             |                     |

| Date              | Key milestones                                |
|-------------------|-----------------------------------------------|
| 23.9.15           | Selection of the lead underwriter for the IPO |
| 23.9.15 ~ 24.3.22 | Due diligence                                 |
| 23.12.13          | Preliminary listing review application        |
| 24.2.19           | Approval of preliminary listing review        |
| 24.3.25           | Filing of Securities Registration Statement   |
| 24.4.16 ~ 24.4.22 | Filing of prospectus, Book building           |
| 24.4.25 ~ 24.4.26 | Public subscription                           |
| 24.4.30           | Subscription payment due date                 |

## Key points regarding IPO



Source: DART

Note: (1) Initial offering 20.0%; (2) Initial offering 25.0%; (3) 4,450,000 from KKR's existing shares

# IPO Case Study: Valuation

The IPO valuation was based on a PER multiple of 31.5x derived from the selected peer group, resulting in a price band of KRW 73,300 to KRW 83,400, with the offering price set at KRW 83,400 after book-building

## Valuation metrics

### PER

- PER is the most commonly used investment metric due to its conceptual clarity and ease of calculation
- Reflecting the future growth potential of the industry, applying the PER can incorporate factors such as the growth potential, profitability, and specific risk-related discount factors

### EV/EBITDA

- EV/EBITDA ratio represents the relationship between EV and EBITDA, indicating a company's ability to generate cash flow, useful metric for companies with significant non-cash expenses
- However, as target company primarily operates in the service industry, its reliance on tangible asset is low

### PBR

- PBR represents the relation between stock price and book value per share, and it is a key valuation metric for financial institutions
- However, as target company is neither a financial institution nor heavily reliant on fixed asset, PBR is excluded

### PSR

- PSR represents the relation between stock price and sales per share
- For PSR to be a suitable valuation, the profit margins of peers should be similar, however, as return on sales varies across companies, and comparing stock prices solely based on revenue may lead to distorted insight, PSR is excluded

## Peer selection

**Industry similarity:**  
Shipbuilding, Engine & Transmission,  
Diversified industrials



+61

**Financial similarity:**  
Recent revenue of over USD 1bn,  
Positive 3-year revenue CAGR



**Business similarity:**  
At least 30% of revenue for shipping or ship parts & services



**General similarity:**  
Positive NI in 2023, exclude extraordinary PER exceeding 50x, at least one year since IPO, etc.

After the book-building process, the offering price was set at the upper end of the price band

### Selected peer group



### Valuation

|                |                 |
|----------------|-----------------|
| Applied PER    | 31.5x           |
| Discount rate  | 21.4% ~ 30.9%   |
| Price band     | 73,300 ~ 83,400 |
| Offering price | 83,400          |



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